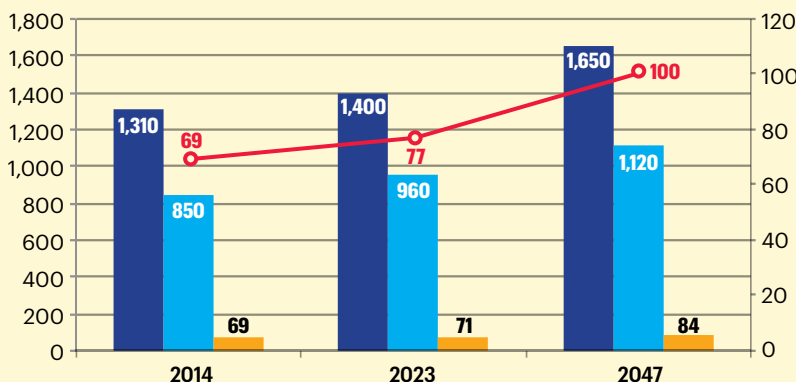


## TARGET FOR 2047

● India's working age population would be around 1.12 billion by 2047, the single-largest workforce of any country globally ● Targets include basic parameters such as universal literacy



● POPULATION IN MILLION (LHS) ● WORKING AGE POPULATION IN MILLION (LHS) ● LIFE EXPECTANCY IN YEARS (LHS) — LITERACY RATE IN % (RHS)

**SOURCE** INDIA EMPLOYMENT REPORT 2024, MHFW 2020

nity to emerge as the manpower and skilled workforce capital of the world,” he says, adding that the country will have a youthful workforce till 2050. “But for this to be a real advantage, the youth need to be skilled and capable to meet the demand and new jobs that will come up with Industry 4.0.”

Sharma of IHD agrees and points out that 40% of the population has not passed Class X or Class XII. “For demographic dividend, people need to be educated. This is required even in jobs in the manufacturing sector,” he says.

Other aspects that require urgent attention from policymakers include increasing the participation of women in the workforce, a focus on urbanisation and urban infrastructure to tackle the rising migration from rural areas as well as policies to meet the needs of an ageing population.

To be fair, the government has already been working on many of these fronts. The Interim Budget

2024-25 had announced that a high-powered committee for an extensive consideration of the challenges arising from fast population growth and demographic changes would be set up. The committee will be mandated to make recommendations for addressing these challenges comprehensively in relation to the goal of Viksit Bharat, Finance Minister Nirmala Sitharaman had said then. Officials have indicated that there would be progress on this announcement in the coming months.

The Budget in July also announced measures for job creation and skilling to meet the challenge of high youth unemployment. Deepa Kumar, Head of Asia-Pacific Country Risk at S&P Global Market Intelligence, and Sophie Malin, Principal Economist at S&P Global Market Intelligence, note that efforts from both the public and private sectors to provide youth job opportunities will be key in helping to provide the employment support needed.

With 15% of its population expected to be aged over 60 years by 2036, a concerted effort on social security, retirement benefits and pension has to be made. A recent report by the Asian Development Bank (ADB), called ‘Aging Well in Asia’ notes that a concern across the Asia and Pacific regions is the risk that societies will grow old before they amass sufficient resources to adequately support their ageing populations. It notes that India had the lowest health insurance coverage among older people at 21%. Financial preparedness for retirement according to its newly developed financial preparedness index was high in India at 73%. However, the report notes that in countries including India, China, and South Korea, 80-90% of financial resources for retirement come from private income and assets, not public pensions or social assistance.

Kumar and Malin of S&P Global Market Intelligence believe that the Indian labour market offers great opportunities for leveraging untapped labour, despite an ageing population. “The relatively low labour force participation rate, especially within women, means that there is ample labour out there that is not being fully utilised,” they say.

India has come a long way in many of these indicators in recent years and with several years still to go to before the population structure begins to change, the optimism around the Indian economy and its people remains intact. It may be a race to the finish, but the consensus remains that India@100 is likely to emerge much stronger on the backs of billions of Indians. **BT**

@surabhi\_prasad